

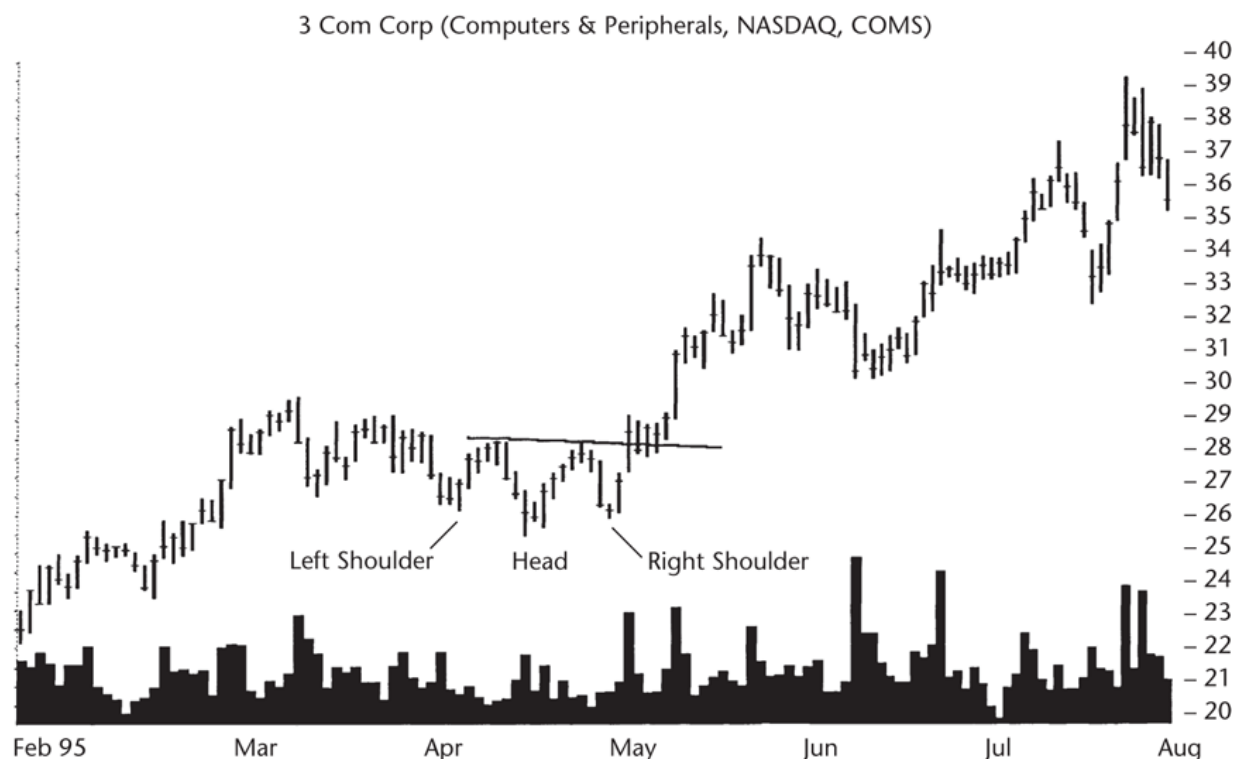


Figure 39.3 A rare head-and-shoulders consolidation of the primary uptrend.

In the figure, the left shoulder sees price decline for 3 days, reverses, and climbs to a minor high. Similarly, the rise between the head and right shoulder climbs almost to the height of the rise between the left shoulder and head, then descends to the right shoulder. All five features, the three valleys and two minor rises, appear well defined and distinct. The features are important as you scan your charts looking for head-and-shoulders bottoms.

Symmetry. Symmetry is another important key to selecting a valid head-and-shoulders bottom. The right side of the pattern usually mimics the left side. The right shoulder declines to about the price level of the left shoulder and the distances of both from the head are similar. Of course, there are many variations, but symmetry should make a head-and-shoulders bottom stand out from a sequence of any three depressions.

Volume. Volume represents another clue to the validity of a bottom. The left shoulder or head has the highest volume, with diminished volume on the right shoulder.